

Module 1: Introduction to Corporate Financial Reporting & Regulatory Framework

Q.1 Meaning and Objectives of Corporate Financial Reporting

Concept

Corporate Financial Reporting refers to the process of communicating financial information about a company's performance and financial position to its stakeholders through financial statements and related disclosures.

In simple words, corporate financial reporting means a company regularly telling its stakeholders — through structured reports — how it is doing financially.

Example: A listed company publishing its annual report, including the balance sheet, profit and loss statement, and cash flow statement, is engaging in corporate financial reporting.

Objectives of Corporate Financial Reporting

1. Providing Useful Information for Decision-Making

The primary objective is to provide financial information that is useful to investors, creditors, and other stakeholders in making economic decisions about the company.

2. Reflecting True and Fair Financial Position

Reporting aims to present a true and fair view of the company's financial position, performance, and cash flows, free from material misstatement.

3. Ensuring Accountability

Financial reporting holds management accountable to shareholders and other stakeholders for the resources entrusted to them, reflecting how efficiently and honestly those resources were used.

4. Facilitating Comparability

Reporting aims to enable comparison of a company's performance over time and against other companies, through the consistent application of accounting standards.

5. Compliance with Legal and Regulatory Requirements

Reporting ensures that companies meet their statutory obligations under laws such as the Companies Act, 2013 and SEBI regulations, avoiding penalties and legal action.

6. Assessing Financial Performance and Position

Reporting allows stakeholders to assess how profitably the company has operated and how financially stable and solvent it currently is.

7. Supporting Efficient Capital Allocation

By providing reliable information, financial reporting helps direct capital towards well-performing companies, contributing to efficient allocation of resources in the economy.

Conclusion

Thus, corporate financial reporting exists primarily to provide decision-useful, true and fair, comparable, and legally compliant financial information, ultimately supporting accountability and efficient capital allocation in the economy.

Q.2 Meaning and Scope of Corporate Financial Reporting

Concept

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Scope of Corporate Financial Reporting

1. Primary Financial Statements

The scope includes the core financial statements — the balance sheet, statement of profit and loss, cash flow statement, and statement of changes in equity — which together present the complete financial picture of the company.

2. Notes to Accounts and Accounting Policies

The scope covers detailed notes explaining accounting policies followed, significant estimates and judgments made, and breakdowns of items appearing in the financial statements.

3. Directors' Report and Board's Report

Corporate financial reporting extends to statutory reports by the board of directors, discussing the company's operations, financial performance, and future outlook.

4. Management Discussion and Analysis (MD&A)

For listed companies, the scope includes an MD&A section analyzing operational and financial performance, industry trends, risks, and opportunities.

5. Corporate Governance Report

The scope also covers disclosures relating to corporate governance practices, such as board composition, committee structures, and compliance with governance norms.

6. Voluntary and Non-Financial Disclosures

Increasingly, the scope extends to voluntary disclosures such as sustainability and ESG reporting, reflecting a broader view of corporate accountability beyond pure financial data.

Conclusion

Thus, the scope of corporate financial reporting extends well beyond the core financial statements to include notes, statutory reports, management analysis, governance disclosures, and increasingly, voluntary non-financial information, providing stakeholders with a comprehensive view of the company.

Q.3 Importance of Financial Reporting for Stakeholders

Concept

Financial reporting is important because it provides the financial information that various stakeholders rely on to evaluate a company's performance and make informed decisions about their relationship with it.

In simple words, financial reporting matters because different groups of people — investors, lenders, employees, the government — all need to know how a company is doing financially before they decide what to do.

Example: A bank reviews a company's financial statements before deciding whether to approve a loan application.

Importance of Financial Reporting for Different Stakeholders

1. Investors and Shareholders

Investors use financial reports to assess a company's profitability, financial health, and future prospects, helping them decide whether to buy, hold, or sell shares.

2. Creditors and Lenders

Banks and other lenders rely on financial statements to assess a company's creditworthiness and ability to repay loans, influencing lending decisions and terms.

3. Management

Management uses financial reports internally to monitor performance, plan strategy, and take timely corrective action where needed.

4. Employees

Employees may use financial information to assess job security and the potential for wage negotiations, bonuses, or promotions.

5. Government and Regulators

Regulatory bodies use financial reports to ensure compliance with tax laws, corporate laws, and other regulations, and to assess the company's contribution to the economy.

6. Customers and Suppliers

Customers and suppliers may assess a company's financial stability before entering into long-term business relationships, warranties, or credit arrangements.

7. Competitors

Competitors study published financial reports to benchmark their own performance and identify industry trends and competitive positioning.

Conclusion

Thus, financial reporting serves an unusually wide range of stakeholders — from investors and creditors to employees, regulators, and even competitors — each relying on transparent and reliable financial information to make decisions that affect their relationship with the company.

Q.4 Limitations of Corporate Financial Reporting

Concept

Despite its importance, corporate financial reporting has several inherent limitations that can affect the reliability and completeness of the information it provides.

In simple words, financial reports, however well prepared, cannot capture everything about a company perfectly and have certain built-in weaknesses that users must be aware of.

Example: A financial statement may not reflect the true current market value of land purchased decades ago, since assets are often recorded at historical cost.

Limitations of Corporate Financial Reporting

1. Historical Cost Basis

Many assets are recorded at their original purchase cost rather than current market value, which can understate or overstate their true worth over time.

2. Use of Estimates and Judgments

Financial statements often rely on estimates, such as depreciation rates or provisions for doubtful debts, which involve subjectivity and can vary between companies.

3. Exclusion of Non-Financial Information

Financial reports may not adequately capture important non-financial factors such as employee morale, brand reputation, or environmental impact.

4. Time Lag in Reporting

Financial statements are typically prepared and published after the reporting period has ended, meaning the information may not reflect the company's current situation.

5. Possibility of Manipulation

Despite regulations, there remains scope for creative accounting or earnings management, which can mislead users of financial statements.

6. Limited Comparability Across Industries

Differences in accounting policies and industry practices can make it difficult to compare financial statements across different sectors.

7. Focus on Short-Term Performance

Reporting frequently emphasizes short-term financial results, such as quarterly figures, which may encourage short-term decision-making at the expense of long-term value creation.

Conclusion

Thus, while financial reporting is essential, its limitations — including reliance on historical cost, estimates, and short-term focus — mean that users must interpret financial statements with caution and awareness of these constraints.

Q.5 Role of Corporate Governance in Financial Reporting

Concept

Corporate Governance refers to the system of rules, practices, and processes by which a company is directed and controlled, playing a critical role in ensuring the integrity and reliability of financial reporting.

In simple words, corporate governance means having the right checks and structures in place at the top of a company to make sure its financial reports are honest and accurate.

Example: An independent audit committee reviewing the company's financial statements before they are approved by the board helps ensure the integrity of financial reporting.

Role of Corporate Governance in Financial Reporting

1. Board Oversight

The board of directors is responsible for overseeing the preparation and approval of financial statements, ensuring they present a true and fair view.

2. Audit Committee

An independent audit committee reviews financial statements, internal controls, and the work of external auditors, adding a layer of scrutiny before financial statements are finalized.

3. Independent External Audit

Corporate governance frameworks require an independent external audit, providing assurance to stakeholders that the financial statements are free from material misstatement.

4. Internal Controls

Good governance requires robust internal control systems that reduce the risk of errors and fraud in financial reporting.

5. Transparency and Disclosure

Corporate governance principles emphasize timely, accurate, and complete disclosure of financial and other material information to stakeholders.

6. Accountability of Management

Strong governance structures hold management accountable for the accuracy and fairness of financial reports, discouraging manipulation.

Conclusion

Thus, corporate governance plays a vital role in financial reporting by ensuring board oversight, independent audit, strong internal controls, and transparency, all of which help build stakeholder trust in the reliability of financial statements.

Q.6 Definition and Objectives of the Conceptual Framework of Financial Reporting

Concept

The Conceptual Framework for Financial Reporting is a set of fundamental principles and concepts that underlie the preparation and presentation of financial statements, providing a consistent basis for developing accounting standards.

In simple words, the conceptual framework is like the foundation or rulebook of basic ideas that accounting standards are built upon, ensuring consistency across all financial reporting.

Example: The conceptual framework helps standard-setters decide how a new type of transaction, such as cryptocurrency holdings, should generally be treated in financial statements, even before a specific standard exists.

Objectives of the Conceptual Framework

1. Assisting Standard-Setters

It helps accounting standard-setting bodies develop new standards and review existing ones in a consistent manner.

2. Assisting Preparers of Financial Statements

It helps companies apply accounting standards consistently and develop accounting policies for transactions not specifically covered by a standard.

3. Assisting Auditors

It provides auditors with a basis for forming an opinion on whether financial statements conform with accounting standards.

4. Assisting Users of Financial Statements

It helps users interpret information contained in financial statements prepared in accordance with accounting standards.

5. Providing Consistency and Comparability

By providing a common foundation, the framework helps ensure that financial statements are consistent and comparable across different companies and time periods.

6. Filling Gaps Not Addressed by Specific Standards

Where no specific standard applies to a transaction, the framework provides the underlying principles that guide preparers towards an appropriate accounting treatment.

Conclusion

Thus, the conceptual framework serves as the foundational structure that guides standard-setters, preparers, auditors, and users alike, ensuring greater consistency, comparability, and reliability in financial reporting.

Q.7 Assets as an Element of Financial Statements

Concept

An asset is a present economic resource controlled by an entity as a result of past events, which is expected to produce future economic benefits for the entity.

In simple words, an asset is something a company owns or controls that will help it earn money or provide value in the future.

Example: Machinery purchased by a company is an asset because it helps produce goods that generate future revenue.

Key Features and Recognition Criteria of Assets

1. Control by the Entity

The entity must have the present ability to direct the use of the resource and obtain the economic benefits that flow from it, even if it does not legally own the resource.

2. Result of a Past Event

An asset arises only from a transaction or event that has already occurred, such as a purchase, exchange, or self-construction.

3. Future Economic Benefit

The resource must be expected to contribute, directly or indirectly, to the flow of cash or cash equivalents to the entity in the future.

4. Reliable Measurement

For an asset to be recognized in the financial statements, its cost or value must be capable of being measured reliably.

Types/Classification of Assets

1. Current vs Non-Current Assets

Current assets are expected to be realized, sold, or consumed within the normal operating cycle or 12 months, such as inventory and receivables, while non-current assets, such as property and equipment, provide benefits over a longer period.

2. Tangible vs Intangible Assets

Tangible assets have physical substance, such as machinery and buildings, while intangible assets lack physical substance but still provide future economic benefits, such as patents and goodwill.

3. Financial vs Non-Financial Assets

Financial assets represent a contractual right to receive cash or another financial asset, such as trade receivables and investments, while non-financial assets, like inventory and PPE, do not represent such a contractual claim.

Conclusion

Thus, an asset is recognized only when it is controlled by the entity, arises from a past event, is expected to generate future economic benefit, and can be reliably measured, and assets are classified in various ways to aid understanding and analysis of financial statements.

Q.8 Liabilities as an Element of Financial Statements

Concept

A liability is a present obligation of an entity to transfer an economic resource as a result of past events.

In simple words, a liability is something a company owes to someone else, which it will have to pay or settle in the future.

Example: A loan taken from a bank is a liability because the company has an obligation to repay it in the future.

Key Features and Recognition Criteria of Liabilities

1. Present Obligation

The entity must have a duty or responsibility that it has little or no practical ability to avoid, arising from a legal contract or constructive obligation.

2. Result of a Past Event

The obligation must arise from a transaction or event that has already taken place, such as receiving goods on credit or receiving a loan.

3. Transfer of Economic Resource

Settling the liability is expected to require the entity to give up cash, goods, services, or other economic resources.

4. Reliable Measurement

The amount of the obligation must be capable of being measured with reasonable reliability, even where some estimation, such as for provisions, is involved.

Types/Classification of Liabilities

1. Current vs Non-Current Liabilities

Current liabilities are due to be settled within the normal operating cycle or 12 months, such as trade payables, while non-current liabilities, such as long-term borrowings, are due after more than 12 months.

2. Financial vs Non-Financial Liabilities

Financial liabilities represent a contractual obligation to deliver cash or another financial asset, such as loans and trade payables, while non-financial liabilities, such as warranty provisions, do not arise from such a contract.

3. Provisions and Contingent Liabilities

Provisions are liabilities of uncertain timing or amount that are recognized when probable and reliably measurable, while contingent liabilities are possible obligations that are only disclosed, not recognized, due to uncertainty.

Conclusion

Thus, a liability is recognized only when there is a present obligation arising from a past event that will likely require an outflow of economic resources and can be reliably measured, with liabilities classified by their timing and nature to aid financial analysis.

Q.9 Equity as an Element of Financial Statements

Concept

Equity is the residual interest in the assets of an entity after deducting all of its liabilities.

In simple words, equity is what is left over for the owners of a business after all the company's debts have been paid off using its assets.

Example: If a company's total assets are worth ₹100 crore and its total liabilities are ₹60 crore, its equity, the owners' share, is ₹40 crore.

Key Features of Equity

1. Residual Nature

Equity is not measured independently but is derived as the balancing figure – assets minus liabilities – reflecting the owners' remaining claim on the business.

2. Represents Ownership Interest

Equity reflects the amount that would theoretically be returned to shareholders if all assets were sold and all liabilities settled.

3. Comprises Multiple Components

Equity typically includes components such as share capital, reserves and surplus, including retained earnings, and other comprehensive income.

Components of Equity

1. Share Capital

This represents the amount contributed by shareholders in exchange for shares issued by the company.

2. Reserves and Surplus

This includes accumulated retained earnings, general reserves, and other reserves created out of profits over time.

3. Other Comprehensive Income (OCI)

This includes certain gains and losses, such as revaluation surpluses, that are not routed through the profit and loss statement but are still recognized in equity.

Conclusion

Thus, equity represents the owners' residual claim on a company's assets after all liabilities are settled, and it is built up over time through share capital contributions, retained profits, and other reserves.

Q.10 Income as an Element of Financial Statements

Q.10 Income as an Element of Financial Statements

Concept

Income refers to increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from equity holders.

In simple words, income is any increase in a company's wealth during a period that comes from its business activities, not from owners putting in more money.

Example: Revenue earned from selling goods, and a gain from selling an old machine at a profit, are both examples of income.

Key Features of Income

1. Increase in Equity

Income ultimately increases the owners' residual claim on the business, either through increased assets or decreased liabilities.

2. Excludes Owner Contributions

Money brought in by owners through fresh share capital is not treated as income, since it does not arise from business operations.

3. Includes Both Revenue and Gains

Income is a broad term covering both revenue, which arises from the ordinary course of business, and gains, which may arise from incidental or non-recurring transactions.

Types of Income

1. Revenue

Revenue arises from the ordinary activities of the entity, such as sale of goods, rendering of services, or earning interest and royalties.

2. Gains

Gains represent other items that meet the definition of income but may or may not arise from ordinary activities, such as a gain on the disposal of a non-current asset.

Conclusion

Thus, income captures all increases in equity arising from a company's activities – whether regular revenue or occasional gains – but excludes any increase arising simply from owners contributing more capital.

Q.11 Expenses as an Element of Financial Statements

Concept

Expenses refer to decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to equity holders.

In simple words, expenses are any decrease in a company's wealth during a period that comes from running the business, not from paying money back to owners.

Example: Salaries paid to employees, and a loss incurred from selling an asset below its book value, are both examples of expenses.

Key Features of Expenses

1. Decrease in Equity

Expenses ultimately reduce the owners' residual claim on the business, either through decreased assets or increased liabilities.

2. Excludes Distributions to Owners

Dividends paid to shareholders are not treated as an expense, since they represent a distribution of profit rather than a cost of doing business.

3. Includes Both Regular Costs and Losses

Expenses is a broad term covering both regular operating expenses arising from ordinary business activities and losses, which may arise from incidental or non-recurring transactions.

Types of Expenses

1. Operating Expenses

These arise from the ordinary activities of the entity, such as cost of goods sold, salaries, rent, and depreciation.

2. Losses

Losses represent other items that meet the definition of expenses but may or may not arise from ordinary activities, such as a loss on the disposal of a non-current asset or a loss due to a natural calamity.

Conclusion

Thus, expenses capture all decreases in equity arising from a company's activities — whether regular operating costs or occasional losses — but exclude any decrease arising simply from distributing profits to owners.

Q.12 Role of Statutory Bodies – Ministry of Corporate Affairs (MCA)

Concept

The Ministry of Corporate Affairs (MCA) is the Union Government ministry responsible for administering corporate law in India, including the Companies Act, 2013, and for regulating the affairs of companies and Limited Liability Partnerships (LLPs).

In simple words, the MCA is the government department that makes and enforces the rules companies in India must follow, especially around registration, governance, and financial reporting.

Example: The MCA notifies the Ind AS (Indian Accounting Standards) that companies must apply when preparing their financial statements.

Key Functions of MCA

1. Administration of the Companies Act, 2013

The MCA administers and enforces the Companies Act, 2013, which governs the incorporation, functioning, and winding up of companies in India.

2. Notification of Accounting Standards

The MCA is responsible for notifying accounting standards, including Ind AS, in consultation with the National Financial Reporting Authority (NFRA), based on ICAI's recommendations.

3. Company Registration and Compliance

The MCA, through the Registrar of Companies (RoC), handles company incorporation, statutory filings, and monitoring of ongoing compliance.

4. Investigation of Corporate Fraud

The MCA, through bodies like the Serious Fraud Investigation Office (SFIO), investigates serious instances of corporate fraud and financial irregularities.

5. Oversight of Professional Bodies

The MCA exercises administrative oversight over professional accounting bodies such as ICAI, ICSI, and ICMAI, which regulate chartered accountants, company secretaries, and cost accountants respectively.

6. Promoting Ease of Doing Business

Through digital initiatives such as the MCA21 portal, the MCA has simplified company registration, filing, and compliance processes for businesses.

Conclusion

Thus, the MCA plays a central role in India's corporate regulatory framework – administering company law, notifying accounting standards, and overseeing company registration and compliance – making it the primary government body governing corporate financial reporting in India.

Q.13 Role of Statutory Bodies – Securities and Exchange Board of India (SEBI)

Concept

The Securities and Exchange Board of India (SEBI) is the statutory regulatory body responsible for regulating India's securities market, and it imposes additional financial reporting and disclosure requirements on companies listed on stock exchanges.

In simple words, SEBI is the watchdog for India's stock markets, and it makes sure listed companies give investors timely, accurate, and detailed financial information.

Example: SEBI requires listed companies to submit their quarterly financial results to stock exchanges within 45 days of the quarter's end.

Key Functions of SEBI Relating to Financial Reporting

1. Regulating Listed Companies

SEBI, through the Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015, imposes disclosure requirements specifically on companies whose securities are listed on stock exchanges.

2. Mandating Timely Financial Disclosures

SEBI requires listed companies to submit quarterly and annual financial results within prescribed timelines, ensuring investors receive timely information.

3. Protecting Investor Interests

SEBI's disclosure requirements, including related party transaction disclosures and insider trading regulations, are designed to protect the interests of minority shareholders and investors.

4. Ensuring Corporate Governance Compliance

SEBI mandates periodic corporate governance compliance reports from listed companies, covering board composition and committee structures.

5. Regulating Market Intermediaries

SEBI also regulates market intermediaries such as stockbrokers, merchant bankers, and credit rating agencies, who play a role in the broader financial reporting and disclosure ecosystem.

Conclusion

Thus, SEBI's role in financial reporting is centered on protecting investors in the securities market by imposing additional, time-bound, and detailed disclosure obligations on listed companies, over and above the requirements of the Companies Act.

Q.14 Role of Statutory Bodies – Institute of Chartered Accountants of India (ICAI)

Concept

The Institute of Chartered Accountants of India (ICAI), established under the Chartered Accountants Act, 1949, is the professional body responsible for regulating the Chartered Accountancy profession and for developing accounting and auditing standards in India.

In simple words, ICAI is the professional organisation that trains and regulates Chartered Accountants in India, and it plays a key role in setting the accounting and auditing rules they must follow.

Example: ICAI develops and recommends the Ind AS to the government, which are then notified by the MCA for mandatory application by companies.

Key Functions of ICAI

1. Regulating the Accountancy Profession

ICAI regulates entry into and conduct of the Chartered Accountancy profession, prescribing qualifications and enforcing a code of ethics for its members.

2. Education and Examination

ICAI conducts the rigorous Chartered Accountancy course and examinations, and provides continuing professional education to its members.

3. Formulation of Accounting Standards

ICAI develops and recommends Accounting Standards and Ind AS, which are subsequently notified by the MCA for mandatory compliance by companies.

4. Setting Auditing Standards

ICAI prescribes Standards on Auditing (SAs) that chartered accountants must follow while conducting audits of financial statements.

5. Maintaining Quality and Discipline

ICAI monitors the quality of its members' work through mechanisms like peer review, and exercises disciplinary jurisdiction over members found guilty of professional misconduct.

6. Advisory Role to the Government

ICAI provides technical input and recommendations to the government and regulators on accounting, auditing, and related policy matters.

Conclusion

Thus, ICAI plays a foundational role in India's financial reporting ecosystem by training and regulating chartered accountants, developing accounting and auditing standards, and maintaining the quality and integrity of the accounting profession.

Q.15 Companies Act Provisions Relating to Financial Reporting

Concept

The Companies Act, 2013 lays down detailed statutory provisions governing the preparation, presentation, approval, audit, and filing of financial statements by Indian companies.

In simple words, the Companies Act sets out the legal rules that Indian companies must follow when preparing, auditing, and presenting their financial statements.

Example: Under the Companies Act, a company's board of directors must approve the financial statements before they are presented to shareholders at the Annual General Meeting.

Key Companies Act Provisions Relating to Financial Reporting

1. Section 128 – Books of Account

This section requires every company to maintain proper books of account that give a true and fair view of its state of affairs.

2. Section 129 – Financial Statements

This section requires financial statements to give a true and fair view of the company's affairs, comply with the accounting standards notified under Section 133, and be prepared in the format prescribed under Schedule III.

3. Section 133 – Accounting Standards

This section empowers the Central Government to prescribe accounting standards, in consultation with the National Financial Reporting Authority, based on ICAI's recommendations.

4. Section 134 – Approval and Signing of Financial Statements

This section requires the board of directors to approve the financial statements, which must then be signed and accompanied by a Board's Report.

5. Section 137 – Filing of Financial Statements

This section requires companies to file a copy of the approved financial statements with the Registrar of Companies within the prescribed time.

6. Section 143 – Auditor's Report

This section requires the statutory auditor to report to members on whether the financial statements give a true and fair view and comply with applicable accounting standards, and to report on the adequacy of internal financial controls.

Conclusion

Thus, the Companies Act, 2013 provides a comprehensive statutory framework — from maintaining books of account to approving, auditing, and filing financial statements.

— ensuring that Indian companies follow a legally mandated and standardized reporting process.

Q.16 SEBI Guidelines for Listed Companies

Concept

SEBI, through the Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015, imposes additional and more stringent financial reporting and disclosure requirements on companies whose securities are listed on stock exchanges.

In simple words, listed companies must follow extra reporting rules set by SEBI, on top of the Companies Act, since they have public shareholders who need timely and detailed information.

Example: A listed company must submit its quarterly financial results to the stock exchanges within 45 days of the end of each quarter, as required under SEBI's LODR Regulations.

Key SEBI Guidelines for Listed Companies

1. Quarterly Financial Results

Listed companies must submit quarterly (and year-to-date) financial results to the stock exchanges within 45 days of the end of each quarter, and annual audited results within 60 days of the financial year-end, under Regulation 33 of the LODR.

2. Corporate Governance Report

Listed companies must submit a quarterly corporate governance compliance report, covering matters such as board composition and committee structures.

3. Shareholding Pattern Disclosure

Listed companies must disclose their shareholding pattern to the stock exchanges on a quarterly basis, ensuring transparency about ownership structure.

4. Management Discussion and Analysis (MD&A)

The annual report of a listed company must include an MD&A section discussing the company's operations, performance, risks, and future outlook.

5. Related Party Transaction Disclosures

SEBI requires detailed disclosure of related party transactions to prevent potential conflicts of interest from harming minority shareholders.

6. Business Responsibility and Sustainability Report (BRSR)

SEBI mandates the top 1,000 listed companies by market capitalization to disclose detailed ESG performance annually through the BRSR.

Conclusion

Thus, SEBI's LODR Regulations impose extensive and time-bound disclosure obligations on listed companies, ensuring that public shareholders receive timely, transparent, and comparable financial and governance information.

Q.17 International Regulatory Bodies - International Accounting Standards Board (IASB)

Concept

The International Accounting Standards Board (IASB) is the independent, privately-funded standard-setting body responsible for developing International Financial Reporting Standards (IFRS).

In simple words, the IASB is the expert group that actually writes the global accounting rules (IFRS) that many countries base their own accounting standards on.

Example: The IASB developed IFRS 15 on Revenue Recognition, which closely corresponds to India's Ind AS 115.

Key Functions and Structure of the IASB

1. Developing IFRS

The IASB's primary mission is to develop, in the public interest, a single set of high-quality, understandable, enforceable, and globally accepted financial reporting standards.

2. Independent Expert Membership

The IASB comprises full-time board members selected for their expertise in standard-setting, accounting practice, and academic research, ensuring technical rigour in standard-setting.

3. Due Process for Standard-Setting

The IASB follows a rigorous and transparent due process, including public consultations and exposure drafts, before finalizing any new standard or amendment.

4. Oversight by IFRS Foundation Trustees

The IASB operates under the oversight of the Trustees of the IFRS Foundation, who are responsible for governance, funding, and appointing IASB members, while the IASB itself remains independent in technical matters.

5. Working with the IFRS Interpretations Committee

The IASB works alongside the IFRS Interpretations Committee, which provides timely guidance on issues arising from the practical application of IFRS.

Conclusion

Thus, the IASB serves as the technical engine of global accounting standard-setting, developing IFRS through a rigorous and independent due process, with its standards forming the basis for many national frameworks, including India's Ind AS.

Q.18 International Regulatory Bodies – IFRS Foundation

Concept

The IFRS Foundation is the not-for-profit, public interest organisation that oversees, funds, and governs the IASB, ensuring the independence and accountability of the global accounting standard-setting process.

In simple words, the IFRS Foundation is the organisation that runs and funds the IASB, making sure the process of writing global accounting rules is fair, independent, and properly accountable.

Example: The IFRS Foundation appoints the members of the IASB and raises the funding needed for it to operate, without directly writing the accounting standards itself.

Key Functions and Structure of the IFRS Foundation

1. Overseeing the IASB

The IFRS Foundation, through its Trustees, oversees the IASB's governance, strategy, and due process, without interfering in the technical content of the standards themselves.

2. Appointing Members and Funding Operations

The Trustees of the IFRS Foundation are responsible for appointing members to the IASB and securing the funding needed for its operations.

3. Three-Tier Governance Structure

The IFRS Foundation operates within a three-tier structure — a Monitoring Board of public capital market authorities, the Trustees, and the IASB itself — designed to balance independence with public accountability.

4. Promoting Adoption of IFRS Worldwide

The IFRS Foundation actively promotes the adoption and consistent application of IFRS around the world, supporting jurisdictions in their convergence efforts.

5. Ensuring Public Accountability

Through the Monitoring Board, comprising bodies like IOSCO and the US SEC, the IFRS Foundation remains publicly accountable while the IASB retains its technical independence.

Conclusion

Thus, the IFRS Foundation provides the essential governance, funding, and public accountability structure within which the IASB can independently develop global accounting standards, together forming the backbone of the international financial reporting framework.